

Investment thesis 1: AI is a hardware boom, and Asia owns the chokepoints

Taiwan, Korea and Japan each control a bottleneck



Taiwan: makes the chips

- HPC/AI 58% of TSMC revenue (2025); 3nm sold out through 2026
- TAIIEX record 48,476 (2 Oct 2026), ~+67% YTD; TSMC >40% of the index

~70%

TSMC share of global foundry revenue (Q1 2026)



Korea: makes the memory

- DRAM contract prices +45–50% q/q in Q2 2026; server DRAM still undersupplied
- KOSPI forward P/E 7.8× vs 23× trailing: earnings, not just multiples

83%

SK hynix (50%) + Samsung (33%) share of HBM revenue (Q2 2026)



Japan: makes the tools

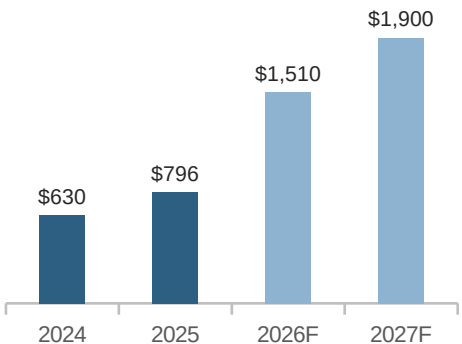
- Test equipment +31% and DRAM equipment +39% in 2026 (SEMI)
- Advantest + Tokyo Electron ≈ 20% of the Nikkei 225; forward P/E 17.2×

~55%

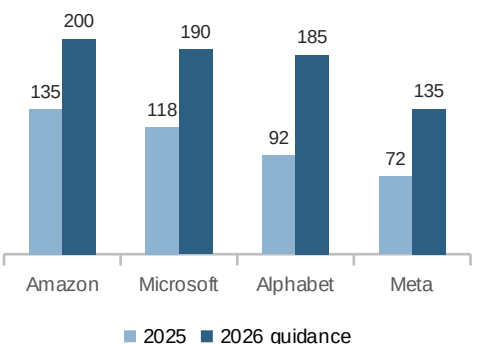
Advantest share of chip test equipment

Demand is surging, but the cycle is maturing

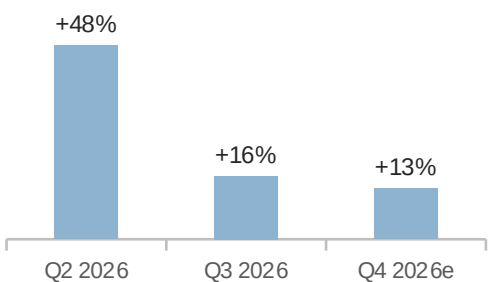
Chip market, US\$bn (WSTS)



Hyperscaler capex, US\$bn



DRAM contract price, q/q



Cycle check

- Memory prices still rising, but gains slowing (midpoints of TrendForce ranges)
- US 25% tariff on some advanced chips since Jan 2026 (Section 232)
- **Structural demand, cyclical prices: own it through a structure built for volatility (thesis 2)**

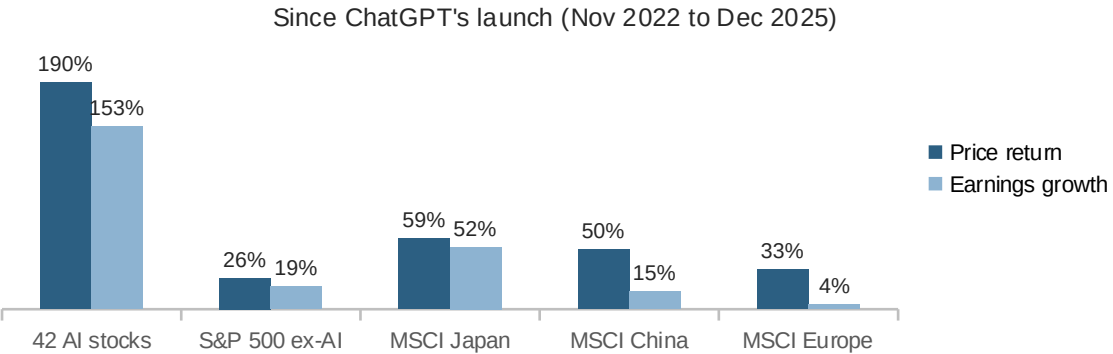
Sources: Counterpoint (foundry, HBM); TSMC; Trading Economics / TWSE; TrendForce (DRAM, range midpoints); Sibilis (P/E, 1 Jul 2026); SEMI (14 Jul 2026); WSTS (2025 actual \$795.6bn; 2024 implied; 2026–27 Spring 2026 forecast); company reports and guidance midpoints (capex; Microsoft 2025 calendar-year estimate); White House Proclamation 11002.

Whichever AI model or company wins, it needs Taiwan's chips, Korea's memory and Japan's tools.

J.P. Morgan's 2026 Outlook: the AI moat is real, and so are its cracks

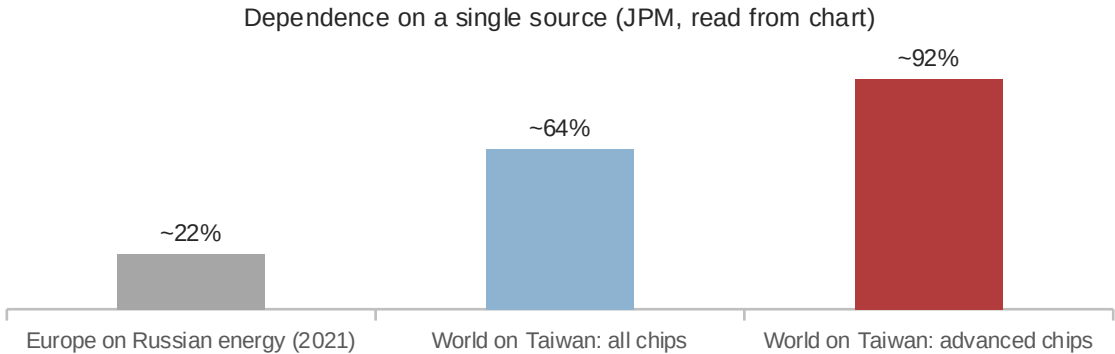
"Smothering Heights: is the largest moat in market history indestructible?" (M. Cembalest, J.P. Morgan Asset & Wealth Management, 1 Jan 2026)

The theme is the market



\$3trn → \$18trn	Market cap of 4 hyperscalers + NVIDIA, TSMC, ASML, AMD in ~7 years: ~20% of MSCI World
65–75%	Share of S&P 500 returns, profits and capex since Nov 2022 from 42 AI-linked stocks
8 of 10	Of the world's 10 largest companies depend heavily on TSMC supply

...but the moat has cracks



10–11 days	Taiwan's gas storage; LNG is 40% of its power and 90% of energy is imported: "the most blockade-sensitive advanced economy"
\$1.3trn	Hyperscaler capex + R&D since 2022: risk of a "Metaverse moment" (Mag 7 fell 50% in 2022)
–10–15%	JPM's base case: a correction at some point in 2026, then markets end the year higher

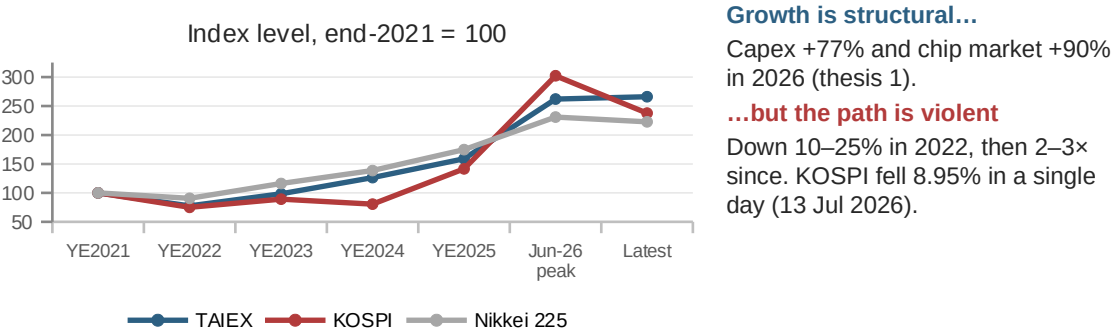
Source: J.P. Morgan Asset & Wealth Management, Eye on the Market, 2026 Outlook "Smothering Heights" (M. Cembalest, 1 Jan 2026), pp. 1–2, 7, 33–35, 46; underlying data Bloomberg, USITC, BP, ROC Taiwan, Global Guardian. Reliance values read from JPM's chart (approximate).

J.P. Morgan's key risks (concentration, Taiwan, a 10–15% correction) are what an autocall with a 30% buffer and a 70% floor is built to absorb.

Investment thesis 2: Volatile markets and high rates favour autocallables

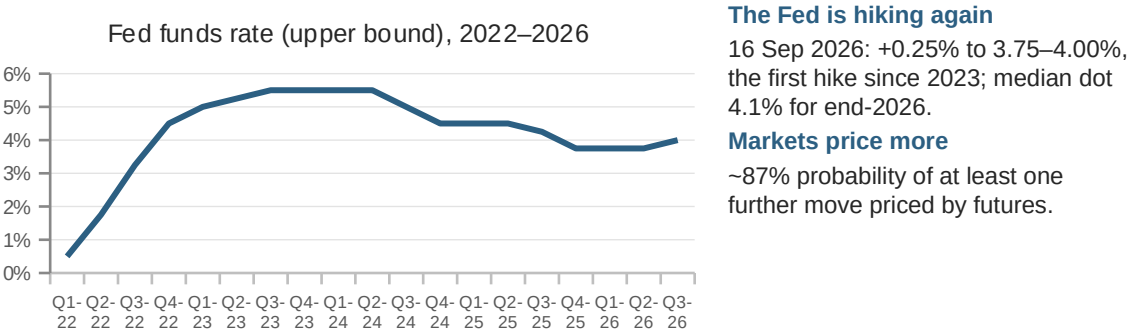
Economic aspect: a strong theme on a volatile path

Structural growth, but a violent, concentrated and late-cycle equity market



Finance aspect: today's rates and volatility suit autocalls

Rates are high and rising again; volatility is at records



- 1

-25%

Round trips happen fast: KOSPI went from 9,000+ in June to 6,789 on 28 Aug; J.P. Morgan expects a 10–15% correction in 2026.
→ **Autocall coupons are paid when the basket gets back to its start: no need to time the bottom**
- 2

>40%

Returns hinge on a few names: TSMC >40% of TAIEX; Samsung + SK hynix ~48% of KOSPI; ~92% of advanced chips from Taiwan.
→ **Use a diversified ETF basket, not a worst-of on single names**
- 3

38.6×

Valuations price in a lot: Nikkei CAPE 38.6×; Taiwan among the most expensive markets; DRAM price gains slowing.
→ **Capping upside at the coupon costs little when the good news is already priced**

- 1

-4.0%

Long bonds carry rate risk: A 5-year bond loses ~4.0% per 1% rate rise, as the Fed hikes again.
→ **Autocalls can redeem from year 1: short duration, and cash to reinvest at higher rates**
- 2

91.2

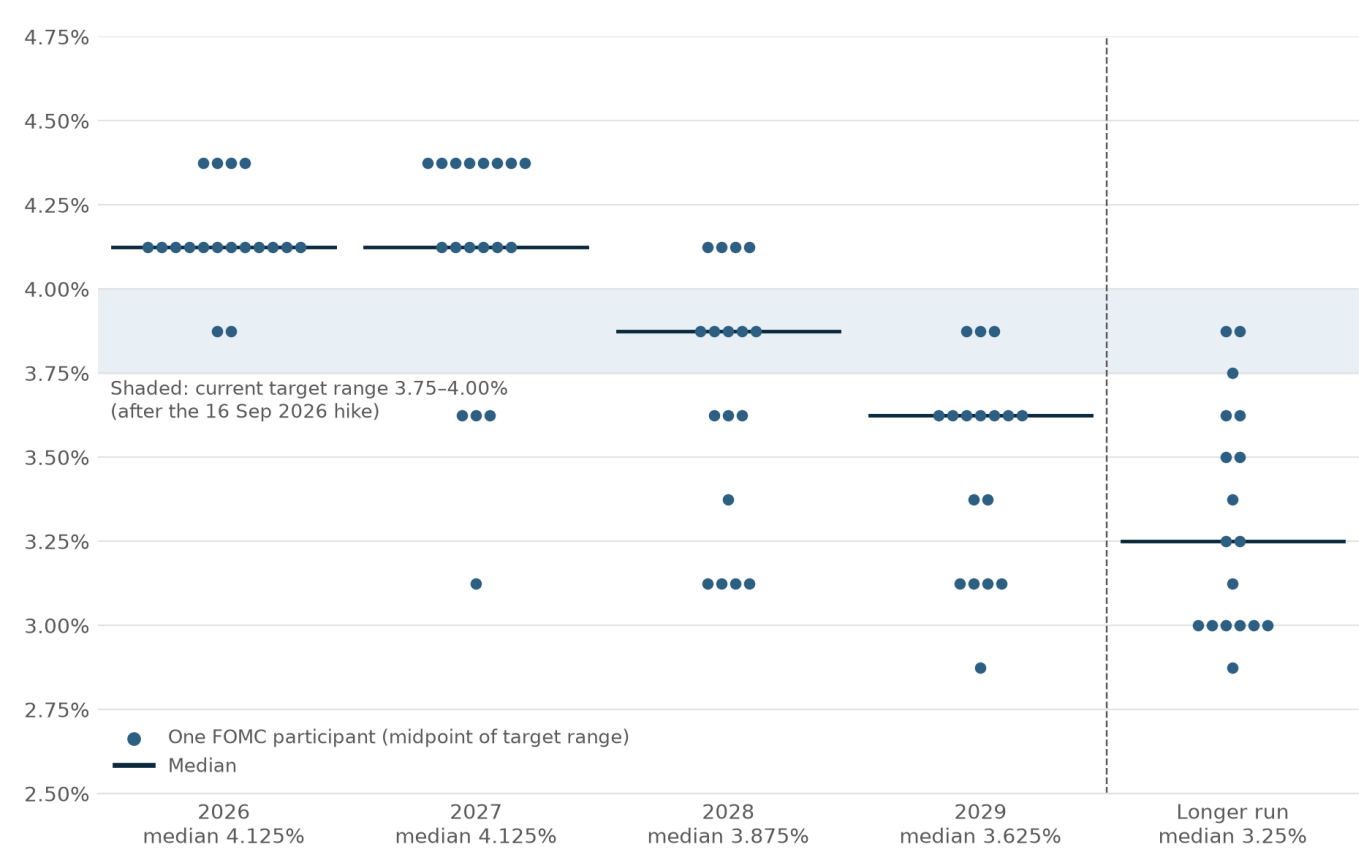
Volatility is at records: VKOSPI closed at an all-time high of 91.2 (9 Jun 2026), above the 2008 peak.
→ **Rich option premium funds higher autocall coupons**
- 3

75.8%

High rates make guarantees cheap: At 5.69% 5Y USD funding, USD 100 payable in 5 years costs only USD 75.8 today.
→ **A capital floor is affordable inside an autocall**

Sources: TWSE, KRX/press, Nikkei (index levels; 2021–23 KOSPI/Nikkei to verify); Asiae, FN News, BIT Research (KOSPI); J.P. Morgan 2026 Outlook; Trading Economics, Sibilis (valuations); TrendForce; Federal Reserve via Advisor Perspectives; Herald / SBS (VKOSPI); case funding grid; standard bond maths.

Investment thesis 2 (rates): the Fed's dot plot says higher for longer



FOMC participants' view of the appropriate fed funds rate (midpoint of target range), Summary of Economic Projections, 16 Sep 2026

4.125%

Rates stay high through 2027: Median 4.125% at end-2026 and 4.125% at end-2027 (one more hike from 3.75–4.00%); cuts only from 2028.
→ **USD funding stays high for most of a 5-year note: the principal and a 70% floor are cheap to build**

12 dots

Risk of more hikes: 4 participants see 4.375% this year and 8 in 2027, above the median.
→ **A 5-year bond loses if rates rise further; an autocall can redeem from year 1 (expected life ~2 years)**

125bp

Wide disagreement: 2027 dots span 3.125%–4.375%; longer run 2.875%–3.875%. The rate path is uncertain.
→ **Rate uncertainty keeps volatility high, and richer option premium funds the coupon**

3.25%

Slow easing later: Median falls to 3.875% in 2028 and 3.625% in 2029, towards 3.25% in the long run.
→ **Lower USD rates late in the note's life support Asian equities, helping the basket back to 100% (autocall)**

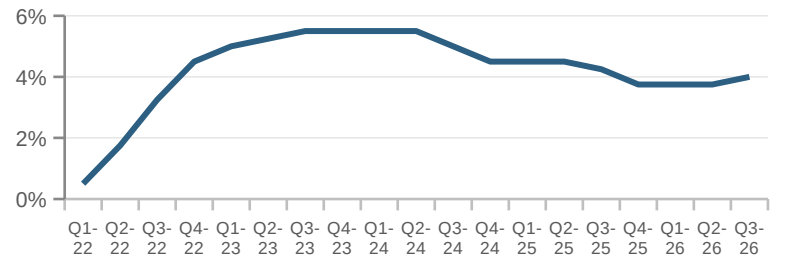
Higher-for-longer USD rates make a capital floor cheap and long bonds risky: the setting suits a short-dated, buffered autocall.

Source: Federal Reserve, Summary of Economic Projections, Figure 2 (16 Sep 2026). Dot counts read from the chart (18 participants for 2026–27 and the longer run, 17 for 2028–29): verify against the SEP table.

Investment thesis 2: Traditional strategies fall short; autocallables fit 2026

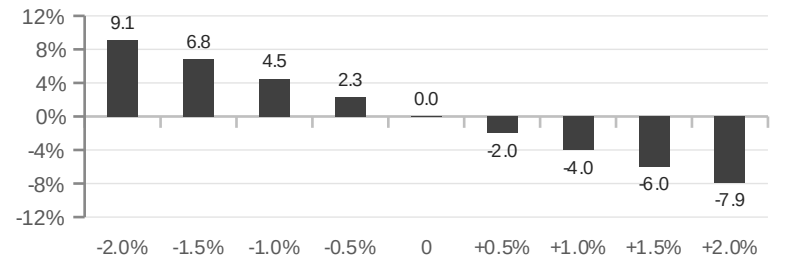
Long bonds face rising rates; buy-and-hold equity faces record volatility, concentration and stretched valuations

Rates are rising again



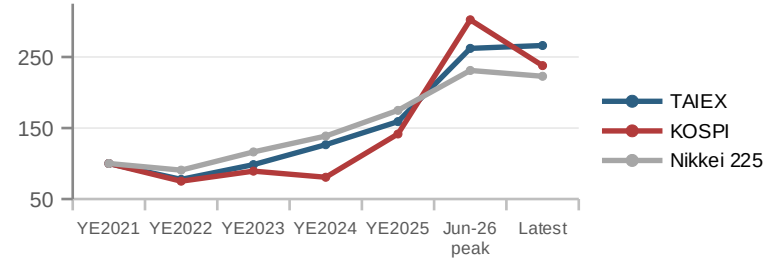
Fed funds upper bound: hikes 2022–23, cuts 2024–25, a hike again on 16 Sep 2026 (median dot 4.1% for end-2026).

Long bonds carry rate risk



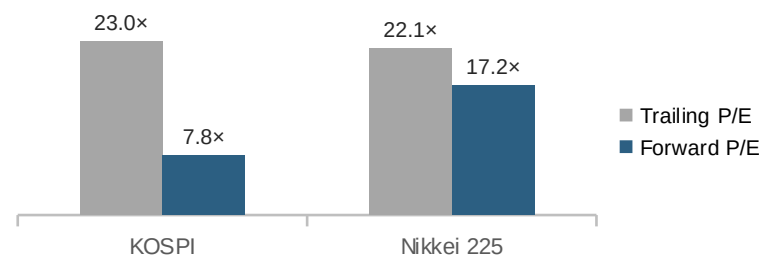
Value change of a 5-year USD bond (5.69% coupon) for parallel rate moves of –2% to +2%.

Equity paths are violent



Index levels, end-2021 = 100: –10–25% in 2022, then 2–3×. KOSPI fell ~25% from June to late August 2026.

Valuations already price in a lot



Siblis Research, 1 Jul 2026. Korea's gap assumes earnings roughly triple; Nikkei CAPE 38.6×; Taiwan among the most expensive markets.

Implications

Market proof: Taiwan structured-note issuance +81% in 2025, snowball autocalls the favourite payoff (SRP)

- 1 Early exit beats duration:** Bonds lose ~4.0% per 1% rate rise; autocalls can redeem from year 1
- 2 Paid on recovery, not timing:** ~25% in ten weeks (KOSPI 2026): autocall coupons pay once the basket is back at its start
- 3 Diversify the basket:** TSMC >40% of TAIEX, ~92% of advanced chips from Taiwan: use a diversified ETF basket, not worst-of
- 4 Volatility funds the coupon:** VKOSPI at a record 91.2: richer option premium means higher autocall coupons
- 5 Protection is affordable:** USD 100 in 5 years costs USD 75.8 at 5.69%: a buffer and a 70% floor fit inside an autocall

Plain bonds and equities leave investors exposed; a buffered autocall with a 70% floor keeps the theme and manages the risks.

Sources: Federal Reserve via Advisor Perspectives; TWSE, KRX/press, Nikkei (index levels); Siblis Research (P/E); Herald / SBS (VKOSPI); TrendForce; J.P. Morgan 2026 Outlook; StructuredRetailProducts.com; case funding grid with standard bond maths.

Appendix: sources for the investment thesis

Fact used	Source
TSMC ~70–73% of global foundry revenue (Q1 2026); HPC 58% of 2025 revenue; 3nm sold out through 2026	Counterpoint via press; TSMC results (verify in TSMC quarterly reports)
TSMC >40% of TAIEX; TAIEX record 48,476 on 2 Oct 2026 (~+67% vs 2025 close 28,963.6)	Trading Economics (Jul, Oct 2026); TWSE 2025 Market Highlights
HBM revenue share Q2 2026: SK hynix 50%, Samsung 33%, Micron 18%	Counterpoint Research, Global DRAM and HBM Market Share
DRAM contract prices: Q2 2026 +45–50% q/q (consumer), Q3 +13–18%, Q4e +10–15% (conventional)	TrendForce via press (May–Sep 2026)
Advantest ~55–58% of test equipment; TEL ~90% of coater/developers; Advantest 12.2% of Nikkei 225	Industry research summaries (verify in annual reports); Nikkei Asia
KOSPI forward P/E 7.8x, trailing 23.0x; Nikkei forward 17.2x, CAPE 38.6 (1 Jul 2026)	Siblis Research
Hyperscaler capex ~USD 725bn in 2026, +77% y/y	Company guidance after Q1 2026, via AI Weekly / Yahoo Finance
Chip market ~USD 1.5trn in 2026 (+90%); equipment USD 165.9bn (+23.2%), DRAM equip. +39%, test +31%	WSTS Spring 2026 (2 Jun 2026); SEMI mid-year forecast (14 Jul 2026)
US 25% Section 232 tariff on a narrow set of advanced logic chips from 15 Jan 2026	White House Proclamation 11002, via Perkins Coie / Mondaq
Fed +0.25% to 3.75–4.00% on 16 Sep 2026, first hike since 2023; median dot 4.1% end-2026	Federal Reserve decision, via Advisor Perspectives
FOMC dot plot: medians 4.125% (2026), 4.125% (2027), 3.875% (2028), 3.625% (2029), 3.25% longer run	Federal Reserve, Summary of Economic Projections, Figure 2 (16 Sep 2026)
VKOSPI record close 91.23 (9 Jun 2026), above Oct 2008 (89.30); 83.58 on 5 Mar 2026	Herald Corp; SBS; FN News (Jun 2026)
KOSPI 9,000+ in June (~+110% YTD), 6,789 on 28 Aug 2026	BIT Research; FN News / Shinhan Securities (31 Aug 2026)
2022: TAIEX –31.6% peak to trough; KOSPI –24.9%; SOX –36%	TWSE 2022 Market Highlights; Korea Times; Bloomberg via BNN
Japan buybacks ¥18.7trn FY2024, ~¥20trn FY2025e; Korea Value-Up Index +30% vs KOSPI 200	Asset Management One via portfolio institutional; AllianceBernstein
42 AI stocks = 65–75% of S&P 500 returns/profits/capex; ~92% of advanced chips from Taiwan; 10–15% correction in 2026 base case	J.P. Morgan AWM, Eye on the Market 2026 Outlook "Smothering Heights" (1 Jan 2026)
Taiwan structured notes 2025: ~75,900 products, +81%; snowball autocalls favoured	StructuredRetailProducts.com, Taiwan Q4 2025 review
5Y bond value change for –2% to +2% rate moves; 5Y discount factor 75.8%	Standard bond maths on the case USD funding grid (5Y 5.69%)

Several figures are forecasts or third-party estimates; numbers marked 'verify' come from a single secondary source. Full URLs: [deck/thesis_sources.md](#).